There exists considerable variation in hiring practices across firms of different sizes in India. A recent study[18] finds that the job creation rate is much bigger for small firms than for large ones; on the other hand the job destruction rate is higher in large firms, with the result that the net employment rate in large firms is negative and strikingly smaller than in small firms.

In the same way, organised industry creates few jobs compared to unorganised industry (which is dominated by small firms). Growth in unorganised industry jobs in 2009-10 is primarily explained by a dramatic growth in construction. Based on data from National Sample Survey Organisation (NSSO) surveys, employment in construction increased by 70 per cent between 2004 and 2009. One recent development is the significant pickup in growth of the organised industry sector jobs in 2009-10. However, two points may be of note. First, this growth is characterised by adding mostly to 'informal' jobs within the formal sector with little increase in productivity. Second, despite the recent pickup in organised-sector job growth, unorganised-sector employment still constitutes more than 95 per cent of overall industry employment; specifically within manufacturing, unorganised-sector employment comprises 70 per cent of overall employment.

Why more jobs are not being created by India's large organised manufacturing? There are several possible explanations. First, strict labour laws may have hindered the growth of organised large-scale manufacturing. India, the employment protection legislation (EPL) laws are stricter than in all but two OECD countries. However, very few workers are actually covered by these laws. Indeed, India may suffer the consequences of strong worker protection (low flexibility for employers and strong reluctance to offer workers formal jobs) without giving most workers the benefits. Although the direct impact of India's labour regulations has been a subject of intense debate, there is a substantial body of evidence which suggests that rigid labour regulations have played a significant role in explaining low organised manufacturing output and employment and high informal manufacturing output.

However, some economists dispute the evidence that establishes the importance of labour regulations in determining economic outcomes. In